

ABlevel economics

Chp:- Demand and Supply

Topic:- Changes in Market

alppha

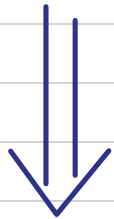
Zarak
Mushtaq



Changes in market

① Demand ↑

e.g. Income ↑ (other factor)



Demand ↑ e.g. Income ↑

Shortage

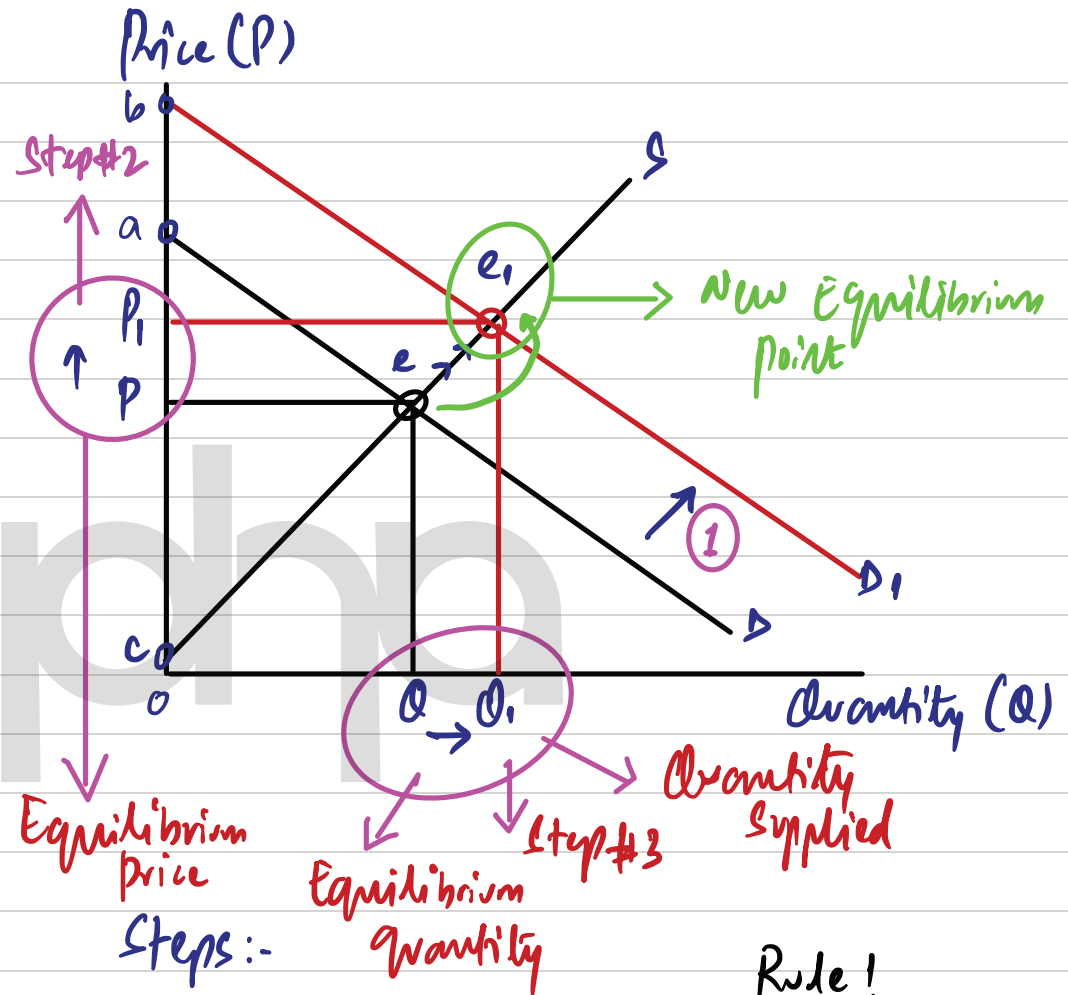
Price ↑

Signal to the producer

Quantity supplied ↑

New Equilibrium established

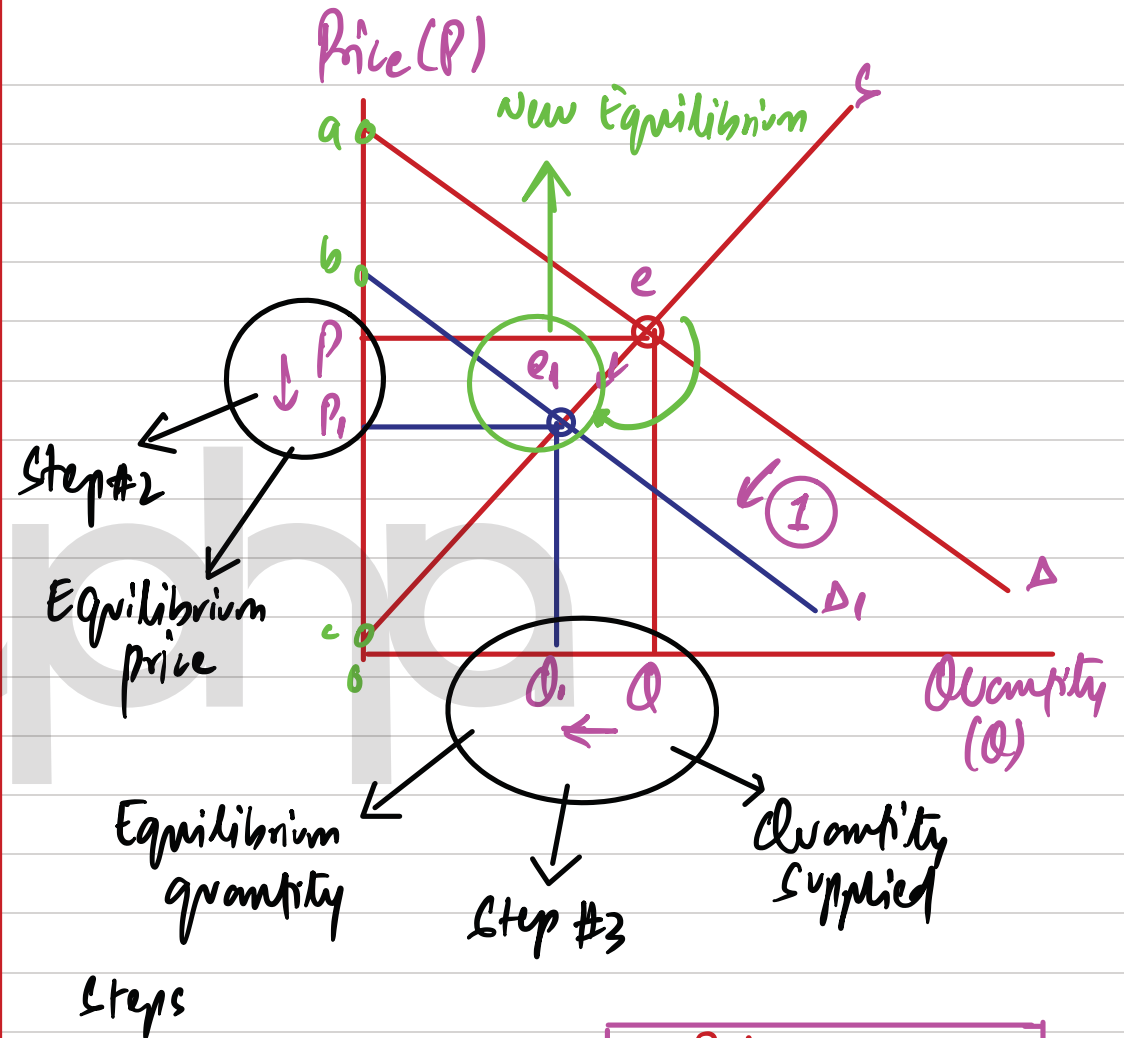
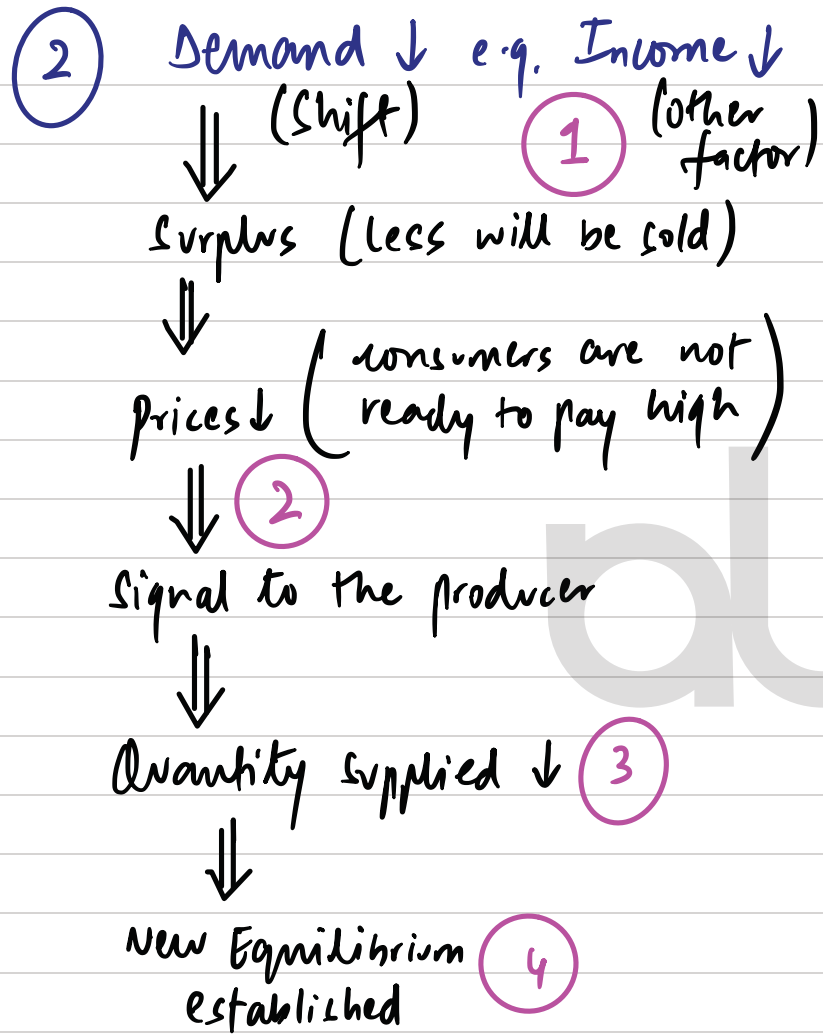
Shift in demand



- Steps:-
- ① Demand (Shift)
 - ② Price
 - ③ Quantity supplied

Diagram Explained:-

An increase in demand from D to D_1 due to increase in income, creates shortage, causing a rise in equilibrium price from P to P_1 , providing signal to the producer to extend equilibrium quantity (Quantity supplied) from Q to Q_1 , and this is how a new equilibrium point is achieved from e to e_1 . Also showing movement along the supply curve, representing responsiveness of producers, due to changes in demand.



- Steps
- (1) Demand (Shift)
 - (2) Price
 - (3) Quantity supplied

Rule :-

Consumers (Start)



Producers (End)

Diagram Explained:-

A decrease in demand from D to D_1 due to decrease in income, creates surplus, causing a fall in equilibrium price from P to P_1 , providing signal to the producer to contract equilibrium quantity (Quantity supplied) from Q to Q_1 , and this is how a new equilibrium point is achieved from e to e_1 . Also showing movement along the supply curve, representing responsiveness of producers, due to changes in demand.

③ Supply ↑ e.g. Subsidy
(Shift) (other factor)

Subsidy



Cost ↓



Supply ↑

①



Surplus



Price ↓

②



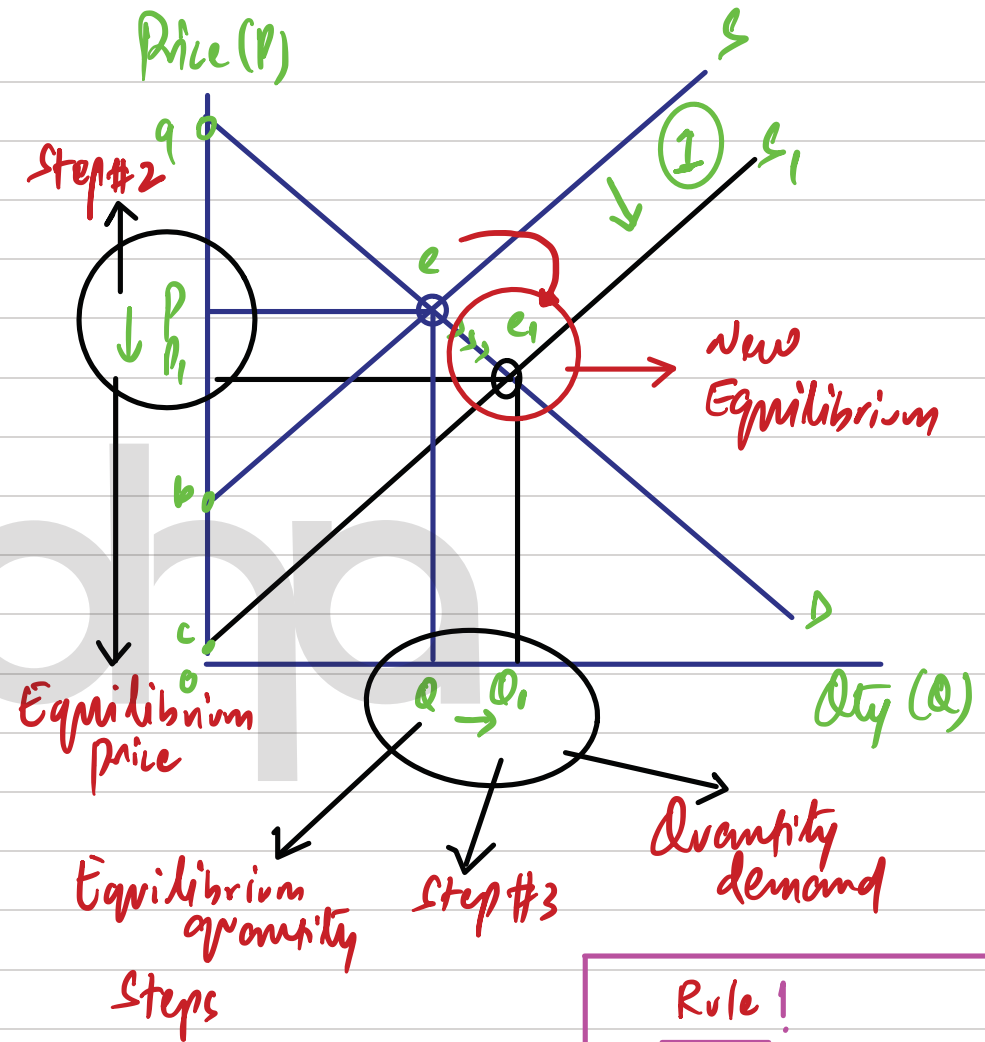
Quantity demand ↑

③



New Equilibrium established

④



- 1 Supply (Shift)
- 2 Price
- 3 Quantity demand

Rule!

Producer (Start)
↓
Consumer (End)

Diagram Explained:-

An increase in supply from S to S_1 due to provision of subsidy creates surplus, causing a fall in equilibrium price from P to P_1 , providing signal to the consumer to extend equilibrium quantity (Quantity demanded) from Q to Q_1 , and this is how a new equilibrium point is achieved from e to e_1 . Also showing movement along the demand curve, representing responsiveness of consumers, due to changes in supply.

④ Supply ↓ e.g. Indirect tax (Shift) (other factors)

Indirect tax e.g. sales tax

↓
Cost ↑

↓
Supply ↓ ①

↓
Burden on firm

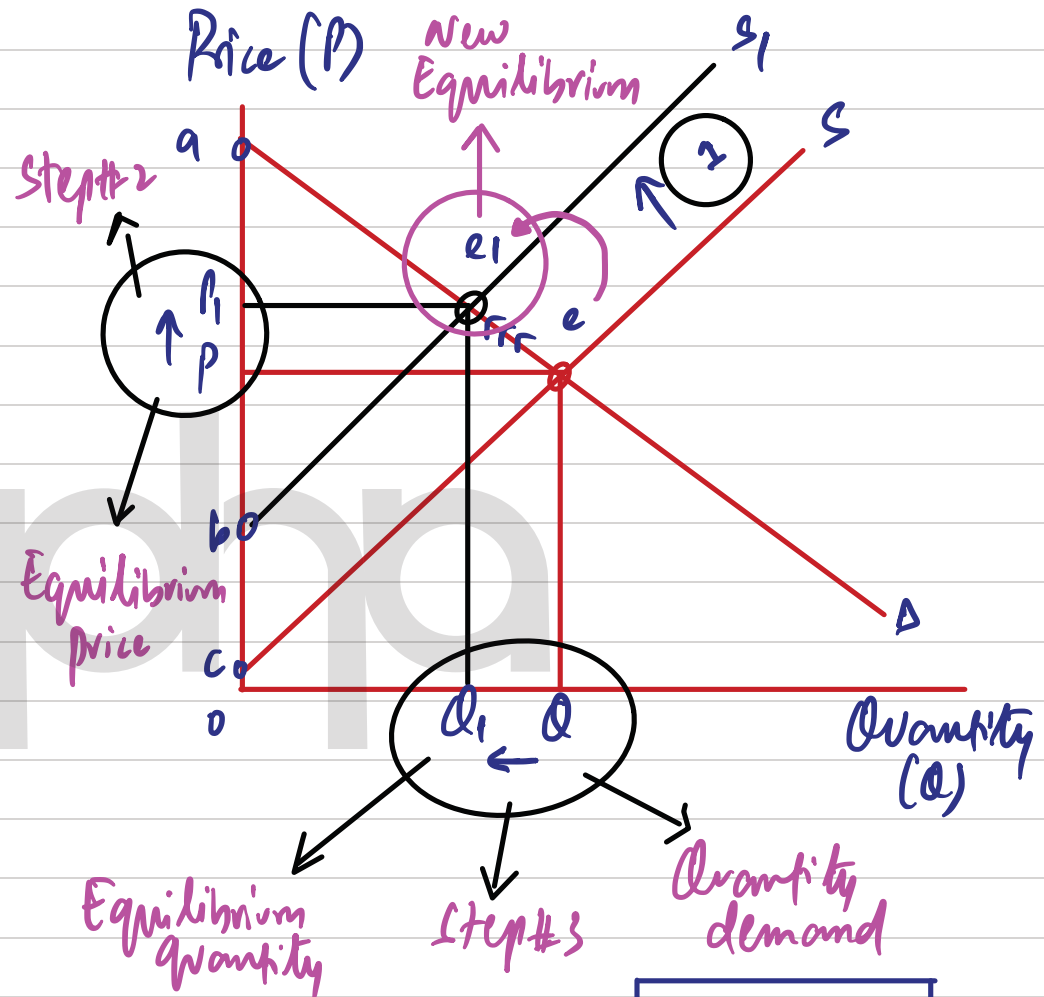
↓
passed to consumers

↓
Prices ↑ ②

↓
reaction by consumers

↓
Quantity demand ↓ ③

↓
New Equilibrium established ④



Steps

- 1 Supply (Shift)
- 2 Price
- 3 Quantity demand

Rule!

Producer

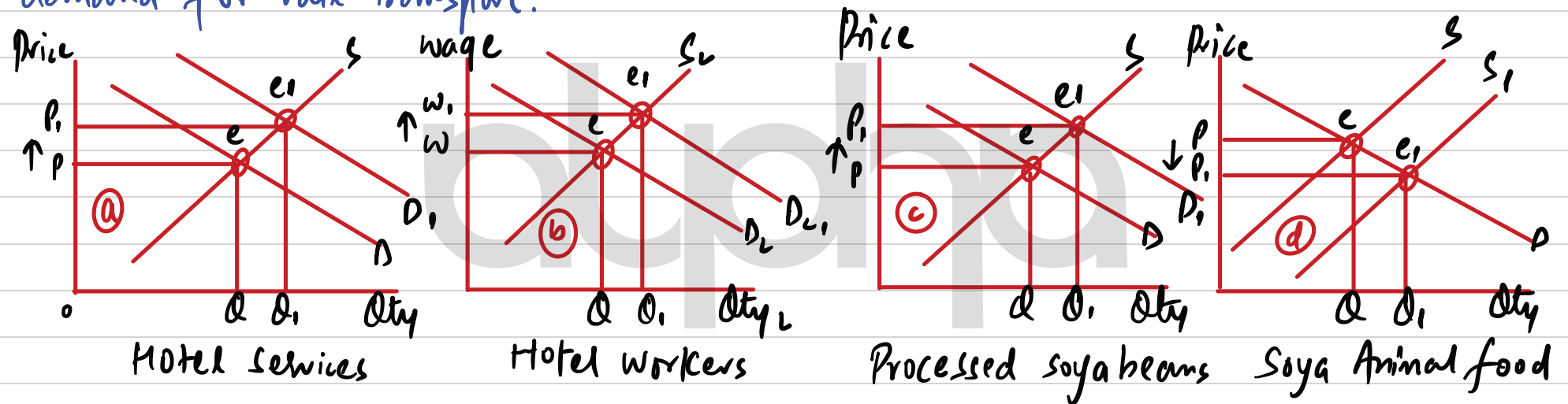
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Consumer

Diagram Explained:-

A decrease in supply from S to S_1 due to imposition of indirect tax creates shortage, causing a rise in equilibrium price from P to P_1 , providing signal to the consumer to contract equilibrium quantity (Quantity demanded) from Q to Q_1 , and this is how a new equilibrium point is achieved from e to e_1 . Also showing movement along the demand curve, representing responsiveness of consumers, due to changes in supply.

Derived demand :- It refers to a situation in which the demand for a component depends upon the final demand for a product that uses that component. For example, the demand for rubber is derived from the demand for car tyres. The concept of derived demand can also be applied in relation to the demand for particular workers. For example, the demand for train drivers derives from the demand for rail transport.



Joint supply :- It occurs when two goods are produced together but for different purposes. An example is the case of soya bean processing in the US where the crop is first processed for human consumption and the remainder is made into animal feed. An increase in demand for processed soya for human leads to an increase in supply and fall in price of the animal feed. Diagram 'c' and 'd'.

Questions

- Q1 Using a diagram, explain the effect of increase in income on equilibrium price and equilibrium quantity? 6
- Q2 Using a diagram, explain the effect of increase in direct tax on equilibrium price and equilibrium quantity? 6
- Q3 Using a diagram, explain the effect of provision of subsidy on equilibrium price and equilibrium quantity? 6
- Q4 Using a diagram, explain the effect of imposition of indirect tax on equilibrium price and equilibrium quantity? 6